

Generative AI's Act Two

From Technology Hammer to Real Value

Sequoia Capital

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Why the transition from Act 1 to Act 2 matters for investors and founders

CONFIDENTIAL

KEY INSIGHT The spark: ChatGPT ignited a Cambrian explosion of AI innovation not seen since the early internet

Six Decades of Technological Progress

Converged to Enable Generative AI

6 decades

Moore's Law

Compute horsepower to process
exaflops of data

1965 — 2023

4 decades

Internet

Trillions of tokens of
training data (accelerated by COVID)

1989 — 2023

2 decades

Mobile + Cloud

Supercomputer in every
human's palm

2000 — 2023

The Convergence Result

Foundation models emerged as a new paradigm — enabling AI to generate text, images, code, and more at unprecedented scale

GenAI Startups Surpassed \$1B Revenue

Faster Than SaaS Ever Did

>\$1B

Revenue from AI startups

Months vs. years for SaaS

Standout Success Stories

ChatGPT

Fastest-growing application
in history

Strong product-market fit among students and developers

Midjourney

Hundreds of millions in revenue

With just 11 employees

Character.ai

2 hrs avg session

Popularized AI entertainment and companionship

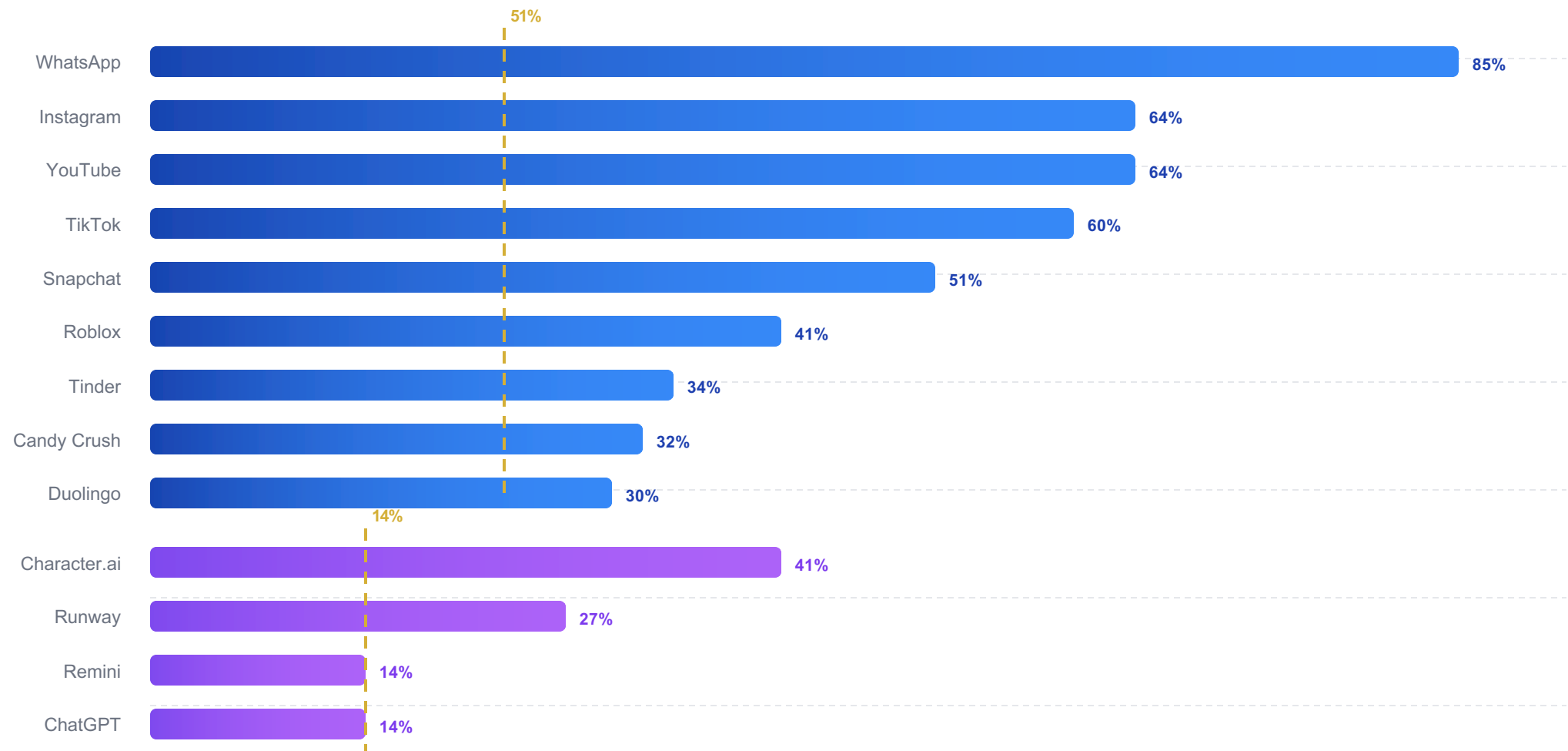
Users spend an average of 2 hours per session in-app

However, these successes don't change the reality that many AI companies lack product-market fit or sustainable competitive advantage.

AI-First Apps Show 14% Median Retention

vs. 51% for Incumbents

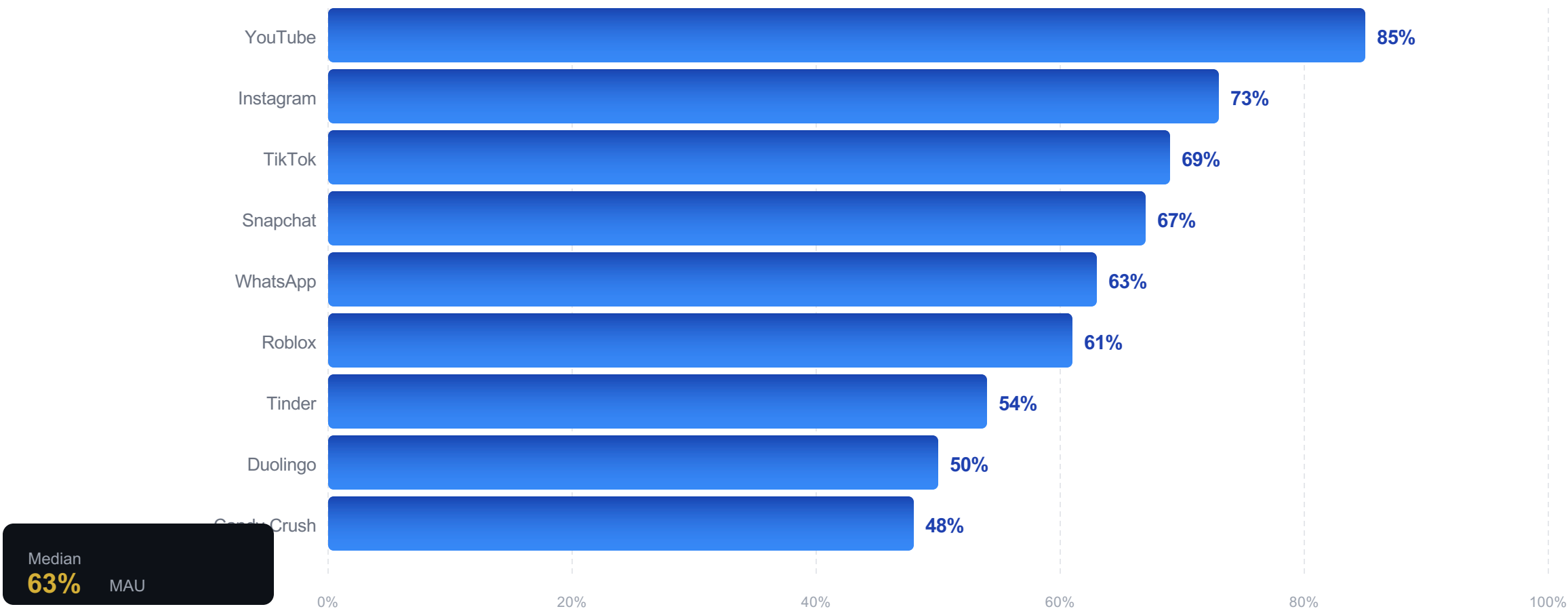
Incumbents (Median 51%) AI-First (Median 14%)



KEY INSIGHT High engagement bar: incumbents achieve 63% median monthly active usage

YouTube Leads Incumbents at 85%

Monthly Active Usage



Act 1 Was Technology-Out; Act 2 Is Customer-Back

ACT 1 Technology-Out

- Foundation models as **the entire solution**
- Novelty demos that **impressed but didn't stick**
- Lightweight wrappers with **no defensible moat**
- Poor retention — users **churned after initial novelty**

ACT 2 Customer-Back

- Foundation models as **a piece of a comprehensive solution**
- New editing interfaces that **make workflows stickier**
- Multi-modal workflows that **handle complex end-to-end tasks**
- Solving human problems **end-to-end**

Act 2 Exemplars: **Harvey** (legal) • **Glean** (enterprise) **Character** **Ava**
(companionship)

Market Map Reorganized by Use Case,

Not Model Modality

ACT 1 ORGANIZATION

By Model Modality

Text Models
Image Models
Code Models
Audio/Video Models



ACT 2 ORGANIZATION

By Use Case

Legal
Harvey

Enterprise Search
Glean

Companionship
Character, Ava

Creative Tools
Midjourney

Developer Tools
GitHub Copilot

Consumer Apps
ChatGPT

Multi-modal, end-to-end solutions define Act 2

The shift from modality-based to use-case-based categorization reflects the maturation of the market — applications are now built around human needs, not technical capabilities

Key Takeaways: What Separates Winners in Act Two

01

Retention is the critical challenge

AI-first apps at 14% vs. 51% for incumbents —
a 3.6x retention gap

02

Foundation models are a component, not the whole product

Act 2 companies build comprehensive solutions

03

Multi-modal, workflow-integrated solutions will win

End-to-end problem solving creates moats

04

\$1B+ revenue proves real demand

GenAI startups reached this milestone in months
vs. years for SaaS — despite hype cycles

05

Companies solving end-to-end human problems will define Act 2

Character.ai's 41% retention (approaching incumbent levels) suggests companionship/entertainment
may be generative AI's strongest consumer use case

The retention gap is the signal — Act 2 companies solve real human problems

For investors: Focus on companies with demonstrated retention and defensible workflows

For founders: Foundation models are infrastructure — build comprehensive solutions around human needs